GLOBAL CLEARING HOUSE | CREDIT & COUNTERPARTY RISK DIVISION

Credit Risk Monitoring

Committee Report

REFERENCE DATE	**31 December 2025**
REPORT CLASSIFICATION	**Internal — Restricted**
PORTFOLIO SCOPE	**25 Entities (15 Banks / 10 Sovereigns)**
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DISTRIBUTION	**CRO, Risk Committee, Clearing Members Desk**

01 EXECUTIVE SUMMARY

- **Portfolio scope:** 25 counterparties monitored (15 banks, 10 sovereigns). 18 entities are currently on the watchlist (72% of portfolio), reflecting elevated macro uncertainty and persistent spread widening across European credit.
- **Tail risk concentration:** One entity — Monte dei Paschi (Bank, Italy) — has been escalated for immediate committee action. CDS at 306 bp, negative ROE, and a CCC internal rating signal material credit deterioration requiring position review.
- **Sub-investment-grade dominance:** Only 6 of 25 entities score at BBB or above under the internal model (Nordea, JPMorgan Chase, ING Group, Intesa Sanpaolo, UniCredit, UBS). The remaining 19 carry sub-IG internal ratings — 10 rated B, 4 rated BB, and 1 CCC.
- **Sovereign stress is systemic, not idiosyncratic:** Eight of ten sovereigns are watchlisted. Key constraints include high debt/GDP ratios (Italy 144%, Greece 185%), weak fiscal balances, and limited FX reserve buffers. Germany remains the sole sovereign off-watchlist.
- **Market signals confirm credit stress:** CDS–bond spread correlation stands at 0.98 (30-day). Watchlist entities trade at an average CDS of 135 bp vs. 68 bp for non-watchlist — a 2x pricing differential validating internal risk segmentation. Turkey (473 bp) and Brazil (281 bp) represent the widest EM sovereign exposures.
- **Overall credit outlook: Stable with selective downside risk.** No systemic stress event is imminent. Risk remains concentrated in specific names rather than portfolio-wide. Primary watch-points: Italian sovereign trajectory, French bank profitability, and Monte dei Paschi balance sheet repair.

OVERALL PORTFOLIO OUTLOOK	STABLE — Selective downside risk

02 PORTFOLIO OVERVIEW

Entity	Type	Score	Int. Rating	CDS (bp)	Alerts	Watchlist
Monte dei Paschi	Bank	36.8	CCC	306.1	4	Yes
United States	Sovereign	40.1	B	29.7	1	Yes
Italy	Sovereign	40.6	B	147.7	2	Yes
Greece	Sovereign	42.4	B	271.5	2	Yes
France	Sovereign	45.4	B	39.9	1	Yes
United Kingdom	Sovereign	46.1	B	37.4	1	Yes
Turkey	Sovereign	46.9	B	472.9	3	Yes
Societe Generale	Bank	48.0	B	129.2	1	Yes
Spain	Sovereign	50.2	B	88.6	1	Yes
Deutsche Bank	Bank	51.3	B	123.2	1	Yes
Japan	Sovereign	54.1	B	19.4	1	Yes
BNP Paribas	Bank	54.3	B	74.2	1	Yes
Commerzbank	Bank	55.8	BB	111.6	2	Yes
Brazil	Sovereign	56.5	BB	281.3	2	Yes
Barclays	Bank	58.5	BB	78.2	1	Yes
HSBC	Bank	59.0	BB	58.3	2	Yes
Santander	Bank	59.6	BB	86.7	1	Yes
ABN AMRO	Bank	60.0	BB	70.6	1	Yes
Germany	Sovereign	61.3	BB	12.1	0	No
UniCredit	Bank	63.2	BB	61.3	0	No
UBS	Bank	64.3	BB	38.5	0	No
ING Group	Bank	65.3	BBB	41.2	0	No
Intesa Sanpaolo	Bank	68.1	BBB	55.7	0	No
JPMorgan Chase	Bank	71.0	BBB	44.1	1	No
Nordea	Bank	76.2	A	21.3	0	No

Sorted by internal score (ascending). Highlighted rows: Top-5 risk concentration names. CDS spreads as of 31 December 2025.

03 WATCHLIST — KEY MONITORED NAMES

18 entities meet at least one watchlist criterion: (i) internal score below 60, (ii) non-investment-grade external rating, (iii) two or more active market alerts, or (iv) score deterioration exceeding 10 points. The five highest-severity names are detailed below. Remaining 13 names are on active monitor status.

ESCALATE — Immediate Committee Action Required

Monte dei Paschi Score: **36.8** | Bank **CCC** **ESCALATE**

NPL ratio 12.4%, negative ROE (–2.5%), C/I at 88%. Internal score breached CCC threshold. CDS at 306 bp and equity vol above 46% confirm sustained market distress.

CDS	306.1 bp
Spread	342.1 bp
Eq 5d	+0.6%
Vol	46.1%

REVIEW — Timely Analytical Action Required

Turkey Score: **46.9** | Sovereign **B** **REVIEW**

Inflation at 48%, political risk 7/10, limited FX buffer. CDS at 472.9 bp is the widest in the portfolio; equity vol at 53.5% reflects persistent investor risk aversion.

CDS	472.9 bp
Spread	402.1 bp
Eq 5d	–1.8%
Vol	53.5%

Greece Score: **42.4** | Sovereign **B** **REVIEW**

Debt/GDP at 185%, bond spread widening alert active (271.5 bp). Score in lower B range with no near-term upside drivers; fiscal headroom remains constrained.

CDS	271.5 bp
Spread	283.4 bp
Eq 5d	–2.1%
Vol	34.8%

Italy Score: **40.6** | Sovereign **B** **REVIEW**

Debt/GDP 144%, structural fiscal deficit, equity –5.3% (5d). CDS at 148 bp reflects sovereign fragility; score trajectory flat with European political tail risk.

CDS	147.7 bp
Spread	158.2 bp
Eq 5d	–5.3%
Vol	31.2%

Societe Generale Score: **48.0** | Bank **B** **REVIEW**

Internal B vs external A– (three-notch gap) driven by liquidity ratio drag and high cost structure. CDS at 129 bp aligns with internal view. Weakest French bank in the portfolio.

CDS	129.2 bp
Spread	122.5 bp
Eq 5d	+0.3%
Vol	26.3%

04 DETAILED CREDIT NOTES

In-depth assessments for one bank and one sovereign, selected on analytical significance and committee relevance as of the reference date.

Monte dei Paschi di Siena

Bank | Italy | CCC

Italy's third-largest bank by assets. Despite a 2022 state recapitalisation, structural weaknesses persist: negative profitability, legacy NPLs, and cost rigidity. Sole 'Escalate' entity in the current monitoring cycle.

STRENGTHS	WEAKNESSES
CET1 ratio 18.3% — well above regulatory minima, providing a capital buffer.	NPL ratio 12.4% — highest in the bank universe, approximately 4x the portfolio median.
Loan-to-deposit ratio 0.95x — balanced funding, limited near-term liquidity cliff.	Negative ROE (–2.5%) and C/I at 88.4% indicate structural unprofitability.
State backstop preserves systemic relevance; reduces immediate insolvency risk.	CDS at 306 bp and equity vol 46.1% signal persistent market scepticism.

MARKET SIGNALS — 31 DEC 2025	
CDS 5Y	306.1 bp
Bond Spread	342.1 bp
Equity 5d Return	+0.6%
Implied Vol (30d)	46.1%

INT. RATING

CCC

Ext: B

Negative

ANALYST VIEW

MPS is the portfolio's highest-severity name. The CCC rating reflects genuine fundamental impairment. Recommend review of exposure limits and collateral terms. Escalation to default-watch triggered by: NPL >15%, CDS >400 bp sustained, or regulatory capital call.

Republic of Turkey

Sovereign | EM | B

Widest CDS in the portfolio at 472.9 bp. Structurally high inflation, political risk, and limited monetary policy credibility are primary drivers. Internal model assigns B, broadly in line with external B+ rating.

STRENGTHS	WEAKNESSES
GDP growth 4.2% — above EM peer average, providing a cyclical buffer.	Inflation at 48% — highest in the sovereign portfolio; primary internal score drag.
FX reserves stabilised post-2023 policy normalisation; acute external liquidity risk reduced.	Political risk score 7/10; institutional independence of key bodies remains constrained.
Rate hike cycle signals partial restoration of central bank credibility.	CDS at 472.9 bp and equity vol 53.5% — highest in the entire portfolio.

MARKET SIGNALS — 31 DEC 2025	
CDS 5Y	472.9 bp
Bond Spread	402.1 bp
Equity 5d Return	–1.8%
Implied Vol (30d)	53.5%

INT. RATING

B

Ext: B+

Stable / Watchlisted

ANALYST VIEW

Turkey's risk profile is driven by macro variables not resolvable near-term. Key trigger for reassessment: inflation declining below 30%. Collateral margins should reflect current CDS levels. Escalation warranted on renewed lira depreciation or political risk increase.

05 MARKET MONITORING INSIGHTS

Theme	Key Observations
CDS Trends	Elevated but range-bound across Q4 2025; no systemic widening event. Turkey (473 bp) and MPS (306 bp) persistent throughout. ~48 CDS alerts over 90 days, concentrated in Oct 8-13 and Dec 18-19 — two discrete stress episodes. Franco-German bank bifurcation: DB/SocGen 123-129 bp vs. Nordea 21 bp.
Bond Spreads	CDS-bond spread correlation: 0.98 (30-day) — stress expressed entirely through credit markets. One active alert: Greece (>25 bp 5d widening). Peripheral spreads (Italy 158 bp, Greece 283 bp, Spain 89 bp) consistent with B-range quality. US Treasury at 16 bp despite internal B — reserve currency premium not in model.
Equity Vol	Eq-vol/CDS correlation: 0.82. Four entities in elevated vol regime (>35%): Turkey 53.5%, MPS 46.1%, Brazil 38.7%, Commerzbank 37.2% — all watchlisted. DM bank vol normalised at 17-26%; no sector-wide stress. Worst 5d returns: Barclays –5.6%, Italy –5.3%, Brazil –3.2%.
Stress Assessment	Systemic risk: **LOW.** Idiosyncratic risk: **ELEVATED** for 7 names. Watchlist avg CDS 135 bp vs non-watchlist 68 bp (2x differential) — validates model discriminatory power. No contagion pathway identified. Monitoring framework providing effective early warning.

06 METHODOLOGY

- **Internal scoring (Banks):** A 7-factor weighted composite model (0–100 scale) combining CET1 ratio (25%), NPL ratio (20%), ROE (15%), leverage (10%), loan-to-deposit (10%), cost-to-income (10%), and liquidity ratio (10%). Each component is normalised relative to peer distribution before weighting.
- **Internal scoring (Sovereigns):** Seven macro-fiscal factors — debt/GDP (25%), fiscal balance (20%), inflation (15%), FX reserves (15%), GDP growth (10%), political risk (10%), and current account (5%) — calibrated to reflect structural credit capacity rather than market price signals alone.
- **Rating mapping:** Score ranges map to AA (85–100), A (75–84), BBB (65–74), BB (55–64), B (40–54), and CCC (<40). The thresholds are calibrated to align with historical agency rating distributions across comparable peer sets.
- **Market alerts:** Four independent triggers — CDS widening >20 bp over 5 days; bond spread widening >25 bp over 5 days; 5-day equity return below –10%; and 30-day implied equity volatility above 35%. Alerts are additive: four active alerts indicates maximum market stress.
- **Watchlist logic:** An entity is watchlisted if it meets at least one of: internal score below 60, non-investment-grade external rating, two or more concurrent market alerts, or a score deterioration exceeding 10 points versus prior snapshot. Priority tier (Monitor / Review / Escalate) is determined by combined signal severity.
- **Limitations:** The internal model is designed for relative risk ranking within a clearing house context, not absolute default probability estimation. Model outputs should be read alongside external agency ratings, qualitative intelligence, and margin model outputs before any exposure or collateral decision is taken.

This report was prepared by Thanh Pham, Credit Risk Analyst. All ratings, scores, and market signals are based on the internal credit risk monitoring framework as of 31 December 2025. Internal ratings do not constitute investment advice and are prepared for risk management purposes only. Reproduction or external distribution is prohibited.